

6. (A) If the value of investment multiplier = 4 and Dissavings = (-) 60, identify the correct Saving function from the following : 1

(a) $S = (-) 60 + 0.25 Y$

(b) $S = (-) 60 + 0.75 Y$

(c) $S = (-) 60 + 0.20 Y$

(d) $S = (-) 60 + 0.60 Y$

OR

- (B) For the given Consumption function, $C = 205 + 0.9 Y$, the value of investment multiplier would be _____.

(Choose the correct alternative to fill up the blank) 1

(a) 0.09

(b) 10.0

(c) 0.9

(d) 9.0

14. (a) "In an economy *ex-ante* Aggregate Demand is more than *ex-ante* Aggregate Supply."

Explain its impact on the level of output, income and employment.

4

OR

- (b) For a hypothetical economy, assuming there is an increase in the Marginal Propensity to Consume (MPC) from 75% to 90% and change in investment to be ₹ 1,000 crore.

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Using the concept of investment multiplier, calculate the increase in income due to change in Marginal Propensity to Consume (MPC).

6. (i) If in an economy, the value of Investment Multiplier is 5 and dissavings are (-)100 crore, the relevant savings at income level of ₹ 1,400 crore would be ₹ _____ crore.
- (Choose the correct alternative to fill up the blank) *1*
- (a) 80 (b) 180
(c) 140 (d) 240

OR

- (ii) The range of value of Investment Multiplier is always between _____ and _____. (Choose the correct alternative to fill up the blanks) *1*
- (a) zero (0), infinity (∞)
(b) one (+ 1), infinity (∞)
(c) zero (0), one (+ 1)
(d) minus one (- 1), plus one (+ 1)

13. Suppose the following information is given about a hypothetical economy :

$$C = 100 + 0.75 Y \quad (\text{where, } C = \text{Consumption and } Y = \text{Income})$$

$$I_0 = 200 \quad (I_0 = \text{Autonomous Investment})$$

Calculate the following on the basis of the given information :

- | | | |
|-----|---|---|
| (a) | Equilibrium Level of Income | 2 |
| (b) | Aggregate Demand at Equilibrium Level of Income | 1 |
| (c) | Marginal Propensity to Save | 1 |

6. (A) If the Marginal Propensity to Save (MPS) is 0.5, what will be the value of investment multiplier ? (Choose the correct alternative) 1
- (a) 1 (b) 2
- (c) 1.6 (d) 1.45

OR

- (B) An increase in National Income occurs by ₹ 3,000 crore, as investments increased by ₹ 1,200 crore. The value of investment multiplier would be _____. (Choose the correct alternative to fill up the blank) 1
- (a) 2 (b) 2.5
- (c) 4 (d) 5

- 13.** Suppose consumption function for an economy is $C = 80 + 0.75 Y$ (where C = consumption function and Y = national income) and the investment expenditure is ₹ 200 crore.

Estimate the following :

$2+2=4$

- (a) Equilibrium level of income
- (b) Values of consumption and saving at equilibrium level of income

6. (A) If in an economy, the Investment Multiplier is 4 and Autonomous Consumption is ₹ 30 crore, the relevant consumption function would be _____. (Fill up the blank with correct alternative) **1**
- (a) $C = 30 + 0.75 Y$ (b) $C = (-) 30 + 0.25 Y$
(c) $C = 30 + 0.25 Y$ (d) $C = (-) 30 - 0.25 Y$

OR

- (B) If increase in National Income is equal to increase in Savings, the value of Marginal propensity to Consume would be _____. **1**
- (Fill up the blank with correct alternative)
- (a) equal to unity (b) greater than one
(c) less than one (d) equal to zero

Suppose for a hypothetical economy :

$$C = 100 + 0.75Y \quad (\text{where } C = \text{Consumption and } Y = \text{Income})$$

$$I_0 = 400 \quad (I_0 = \text{Autonomous Investment})$$

Value of Investment Multiplier (K) would be _____.

(Choose the correct alternative to fill in the blank) *1*

(A) 5

(B) 4

(C) 6

(D) 3

- (a) Complete the following table. Construct/Express the Consumption function at ₹ 200 crore level of income.

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<i>Income (Y)</i> <i>(in ₹ crore)</i>	<i>Savings</i> <i>(in ₹ crore)</i>	<i>Average Propensity</i> <i>to Consume (APC)</i>	<i>Marginal Propensity</i> <i>to Save (MPS)</i>
0	(-) 30	—	—
100		1	
200		0·85	
300		0·8	

OR

- (b) “In an economy, ex-ante Aggregate Supply is less than ex-ante Aggregate Demand.”

Explain its impact on the level of output, income and employment.

4

For a hypothetical economy, assume the government increased an infrastructural investment by ₹ 10,000 crore. 80% of additional income is consumed in the economy. Estimate the increase in income and the corresponding increase in consumption expenditure in the economy. 4

Complete the following table. Construct the consumption function at ₹ 200 crore level of income.

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<i>Income (Y)</i> <i>(in ₹ crore)</i>	<i>Savings (S)</i> <i>(in ₹ crore)</i>	<i>Average Propensity</i> <i>to Consume (APC)</i>	<i>Marginal</i> <i>Propensity to Save</i> <i>(MPS)</i>
0	(-) 50	—	—
100		1	
200		3/4	
300		2/3	

- (a) For a hypothetical economy, the government incurs an additional investment expenditure of ₹ 5,000 crore. Assuming that the Marginal Propensity to Save (MPS) becomes half from its present level of 20%, estimate the change in income due to this fall in Marginal Propensity to Save (MPS). 3
- (b) State the meaning of autonomous investment. 1

(a) Suppose an economy is in equilibrium. From the following data, calculate Investment Expenditure in the economy :

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- (i) National Income = ₹ 40,000 crore
- (ii) Marginal Propensity to Consume (MPC) = 0.8
- (iii) Autonomous Consumption ($\bar{c}$) = ₹ 100 crore

OR

Suppose, an economy is in equilibrium. From the following data, calculate investment expenditure in the economy :

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- (a) National Income (Y) = ₹ 10,000 crore
- (b) Marginal Propensity to Consume (MPC) = 0.8
- (c) Autonomous Consumption ($\bar{c}$) = ₹ 100 crore